

What Economics Is About

Chapter 1

What Economics is About

- What is Economics?
- What do Economists Study?
- Is There an Economic Way of Thinking?
- Why Study Economics?
- Can the Study of Economics Help Us Understand Our World?

Economics

The science of scarcity; the science of how individuals and societies deal with the fact that wants are greater than the limited resources available to satisfy those wants

Scarcity and its effects

- **Choices:** Because of scarcity people must make a choice. When choices are made opportunity costs are incurred. Change in opportunity cost changes behaviour.
- **Trade-off/exchange:** Giving up one thing for something else.
- **Need for a rationing device:** Because of scarcity a rationing device is needed. A rationing device refers to a means for deciding who gets what of available resources and goods.
- **Competition:** Whatever the rationing device is people will compete for it. So, scarcity and competition are linked.
- **Opportunity Cost:** The most highly valued opportunity or alternative forfeited when a choice is made

Opportunity Cost

- The most highly valued opportunity or alternative forfeited when a choice is made.
- There is no such thing as a free lunch.
- The Higher the opportunity cost of doing something, the less likely it will be done.
- Thinking in Terms of What Would Have Been.

Some definitions:

Goods and Bads

Good: Anything from which individuals receive utility or satisfaction.

Bad: Anything from which individuals receive disutility or dissatisfaction.

Utility and Disutility

The satisfaction one receives from a good is called Utility and the dissatisfaction one receives from a bad is called disutility

Factors of production:

Land: All natural resources, such as minerals, forests, water, and unimproved land

Labour: The work brought about by the physical and mental talents that people contribute to the production process

Capital: Produced goods, such as factories, machinery, tools, computers, and buildings that can be used as inputs for further production.

Entrepreneurship: The talent that some people have for organizing the resources of land, labour, and capital to produce goods, seek new business opportunities, and develop new ways of doing things.

Decisions & Effects

Decisions at the Margin

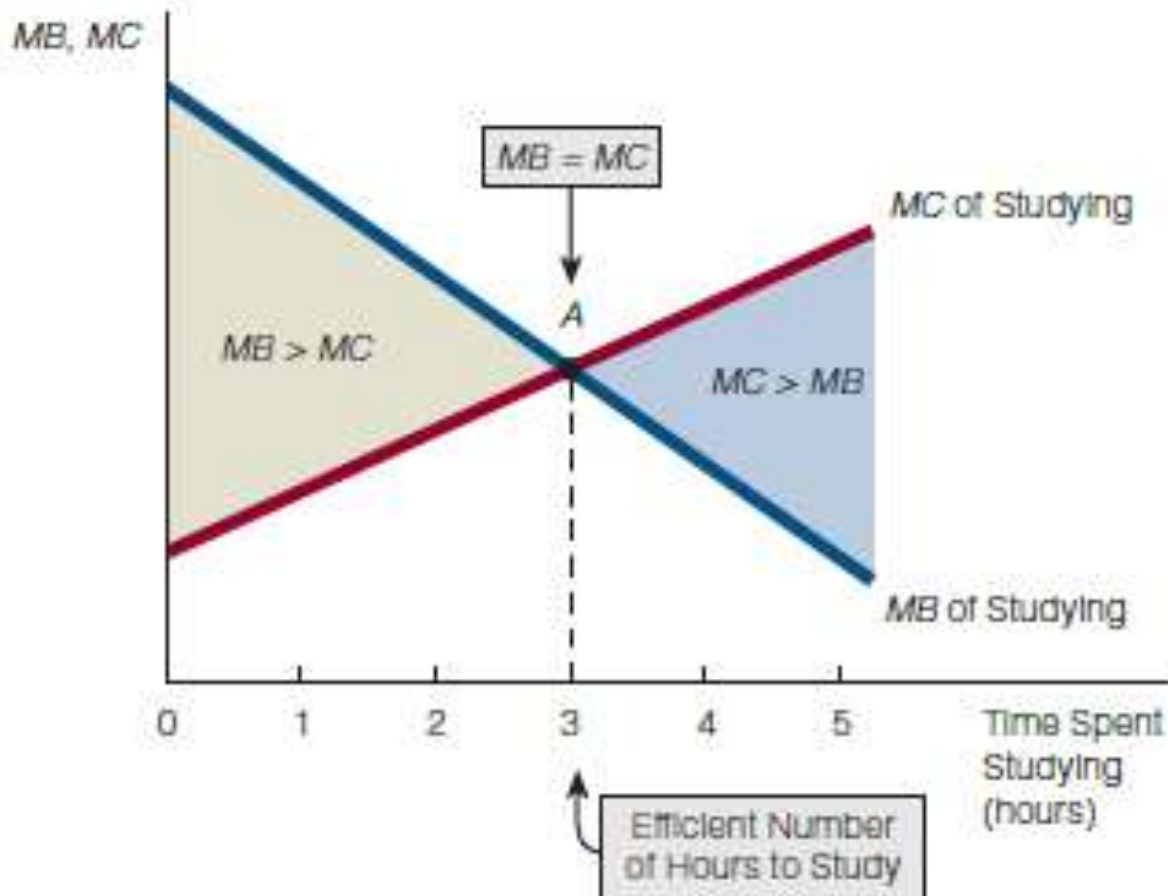
Marginal Benefits (MB) Additional benefits; the benefits connected with consuming an additional unit of a good or undertaking one more unit of an activity.

Marginal Costs (MC) Additional costs; the costs connected with consuming an additional unit of a good or undertaking one more unit of an activity

Efficiency: The right amount of anything is the optimal or efficient amount

- Efficiency exists when $MB = MC$

Maximizing Net Benefit



Ceteris Paribus Thinking

A Latin term meaning all other things constant or nothing else changes.

Example.....

Using the *ceteris paribus* assumption is important because, with it, we can clearly designate what we believe is the correct relationship between two variables.

Economic Categories: Positive and Normative Economics

- Positive Economics: Study of “what is” in economic matters. It deals with cause-effect relationship that can be tested.
- Normative Economics: Study of “what should be” in economic matters. It deals with value judgment and opinions that can not be tested.

Microeconomics Vs Macroeconomics

- Microeconomics: The branch of economics that deals with human behaviour and choices as they relate to relatively small units: an individual, a firm, an industry, or a single market.
- Macroeconomics: The branch of economics that deals with human behaviour and choices as they relate to highly aggregate markets (e.g., the market for goods and services) or the entire economy.